

29 Risk transfer

4 primary questions | Oldest to newest

2026 objectives: 4.7.1, 4.7.4-4.7.5

2 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

Click a question below to begin.

CA1-P1 April 2007 Q1	5 marks
CA1-P1 April 2009 Q4	21 marks
CA1-P1 April 2014 Q6	21 marks
CP1-P1 September 2024 Q7	10 marks

CA1-P1 | April 2007 | Q1

[Current topic](#) | [5 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 1** Describe the aim and main features of catastrophe reinsurance from the point of view of a ceding general insurance company. [5]

CA1-P1 | April 2009 | Q4

Current topic | 21 marks total | Original PDF p3

Related: Ch 30, Ch 24.

- 4** A general insurance company specialises in domestic property insurance covering both buildings and contents. The company is considering various methods of controlling risks.
- (i) Discuss the factors that the company should consider before deciding on an appropriate risk transfer programme. [7]
 - (ii) Discuss methods other than reinsurance which the company could use to control risks. [6]
 - (iii) List the advantages that these methods have compared to a reinsurance programme. [4]

The company is part of a large multinational organisation that has a number of business units that are either similar general insurance companies, life insurance companies or investment companies.

- (iv) Discuss two approaches to managing the aggregation of risk arising from the multinational organisation's various enterprises. [4]
- [Total 21]

CA1-P1 | April 2014 | Q6

Current topic | 21 marks total | Original PDF p3

Related: Ch 30, Ch 20.

6 A large life insurance company sells a range of protection and savings products.

- (i) Give possible reasons why the claims experience of this company's protection business may differ from that of its competitors. [5]

The company's term assurance business has lost market share in an increasingly competitive market. The company plans to introduce a new product with significantly fewer questions on the proposal form, with the intention of improving the market share of the term assurance business.

- (ii) State possible ways that the underwriting risks from this new product can be limited. [2]

- (iii) Discuss reasons why the life insurance company may want to use reinsurance for this new product, suggesting types of reinsurance that may be appropriate. [9]

- (iv) Discuss how the life insurance company could evaluate:

- (a) the reinsurance products
(b) the reinsurance providers [5]

[Total 21]

CP1-P1 | September 2024 | Q7

Current topic | 10 marks total | Original PDF p3

Related: Ch 26, Ch 22.

- 7** A successful music artist wants to sell the rights to future profits from their back catalogue of music (i.e. all music the artist has released to date).

A financial company is considering whether to enter into a transaction with the artist to buy the rights of the artist's back catalogue.

- (i) Discuss the factors the financial company should consider in structuring the transaction. [4]
- (ii) Describe the risks, to each of the following key stakeholders, of such an arrangement:
 - the artist
 - the financial company.

[6]

[Total 10]